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FOUR BIG TAKEAWAYS FROM SHARM EL-SHEIKH

The 27th Conference of Parties (COP27) to the UN Framework Convention on Climate Change (UNFCCC), held at Sharm El-Sheikh in Egypt, began with low expectations. But defying all presumptions, it has achieved four key outcomes that will have far-reaching implications for energy transition and international climate collaboration.

1 It got developed countries to agree on something they had refused for three decades—pay for climate disasters in developing countries. Wealthy countries have always stalled any deal on Loss and Damage (L&D) because it exposes them to liability for their historic contribution to the climate crisis. They did that in Sharm El-Sheikh as well. Ultimately, under tremendous pressure from developing countries, they agreed to a new funding window for L&D, but with many caveats attached to the fund. For instance, the fund will only support countries most vulnerable to climate change (which might not include India), and funding will not only come from developed countries but from a "mosaic" of sources, which could include emerging economies and wealthy countries from the global south. Nevertheless, with the L&D deal, the framework for international climate collaboration is complete—mitigation to avert disaster, adaptation to minimise damage and L&D to compensate for losses. Of all three, it is cheapest to mitigate and most expensive to pay for L&D. This should motivate big polluters to cut emissions rather than be liable to pay billions for floods, droughts and cyclones.



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2 COP27 also negotiated something that no UN climate conference had done before: phasing out fossil fuels, the essential element to limit global warming. And it is to the credit of India that this discussion took place. Last year at Glasgow, while nations agreed to phase down coal power to limit global warming, they kept silent on oil and gas due to pressure from big oil- and gas-dependent economies. This time, India pointed out the need to phase down use of fossil fuels and got the support of nearly 80 countries, including the US, and EU nations. Unfortunately, the oil and gas phase-down was excluded from the final decision due to opposition from Saudi Arabia and Russia. Nevertheless, Sharm El-Sheikh has set in motion the process to phase out all fossil fuels, and it is a matter of time before this is accepted at a future COP.

3 Just transition—implementing a people-centric transition to phase down fossil fuels—emerged as a crucial pivot to reduce emissions from fossil fuel-dependent developing countries. Mid-way through COP27, a $20 billion deal was struck between Indonesia and G7 countries at the G20 meeting in Bali to phase down coal use in Indonesia. Called Just Energy Transition Partnership (JET-P), South Africa and G7 signed a similar deal worth $8.5 billion last year. A JET-P agreement was also offered to India, which it rightly postponed for future negotiations. Taking a cue from JET-P, at COP27, parties have agreed to negotiate a possible future agreement to scale up support for just transition in other developing countries. Most likely, the future financial deal between the developed and developing countries would be through just transition partnerships.

4 COP27 has further diluted the traditional classification of developed and developing countries, as outlined in the 1992 convention. The question of who should pay for L&D brought focus on China, the largest current emitter and second-largest historical emitter of greenhouse gases. The fact that China is putting billions into the Belt and Road Initiative but prefers to be called a developing country at the UNFCCC was questioned by many countries, developed and developing. The same applies to nations like Saudi Arabia, South Korea and Singapore. It is clear that from now on, countries like China will find it challenging to avoid greater responsibility for the climate crisis. There will also be pressure on India to contribute more, as it is traditionally bracketed with China at the UNFCCC. Overall, COP27 has changed the nature of international negotiations. It is crucial for the government of India to recognise these shifts and revisit its negotiating strategy to advance the nation's development and climate agenda together. ■

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